

24STCV28273 24STCV28273

County: los-angeles

Division: Civil Law and Motion

Department: 507

Hearing date: 2026-08-05

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C507%2C08%2F05%2F2026

Source SHA-256: e557274b35775a349c9e1127fa0fbca2223d01c78561845b861b51159857145f

Case Number: 24STCV28273 Hearing Date: August 5, 2026 Dept: 507

Tentative Ruling

Judge Rolf M. Treu, Department 507

HEARING DATE: August 5, 2026 TRIAL DATE: None Set

CASE: Lonnie Levine v. STACHS LLC, et al.

CASE NO.: 24STCV28273

(1)

MOTION FOR JUDICIAL NOTICE

(2)

DEMURRER TO FIRST AMENDED COMPLAINT

MOVING PARTIES: (1)-(2) Defendants

Eaze Inc. and Eaze California LLC

RESPONDING PARTY(S): (1)-(2) Plaintiff Lonnie Levine

PROOF OF

SERVICE:

.

Correct Address: Yes.

.

16/21 (CCP § 1005(b)): (1)-(2) OK. Demurrer

served electronically on April 14, 2026, for a hearing date of August 5, 2026.

Motion for Judicial Notice served electronically on April 17, 2026, for an initial hearing date of May 26, 2026.

CASE

HISTORY:

.

10/29/24: Complaint filed.

.

04/08/26: First Amended Complaint
filed.

.

04/14/26: Demurrer filed.

.

04/17/26: Motion for Judicial Notice
filed.

.

07/23/26: Oppositions to Demurrer
and Motion for Judicial Notice filed.

.

07/29/26: Replies in support of
Demurrer and Motion for Judicial Notice filed.

STATEMENT OF

MATERIAL FACTS AND/OR PROCEEDINGS:

In this employment law action, Plaintiff Lonnie Levine ("Plaintiff") accuses his former employer, Defendant "Stachs LLC dba Eaze, an unknown limited liability company," for, among other things, violating wage and hour laws and wrongfully terminating Plaintiff after he complained about work conditions.

Defendants Eaze Inc. and Eaze California (collectively,

“Defendants”) now demur all 19 causes of action in the operative First Amended Complaint (“FAC”), arguing that they fail to state facts sufficient to constitute a cause of action because the entities were formed significantly later than the period at issue in the pleading. Defendants separately move for judicial notice of Delaware Secretary of State records.

Plaintiff opposes the demurrer, arguing the FAC has alleged facts sufficient to establish liability against Defendants based on alter ego and successor liability theories. He opposes the motion for judicial notice, arguing that a court cannot take judicial notice of the truth of the matters asserted in the Delaware Secretary of State records.

TENTATIVE

RULING:

Defendants’ motion for judicial notice of Delaware Secretary of State records is GRANTED, but not of the truth of the factual matters asserted in those records.

Defendants’ demurrer to the fifteenth cause of action for defamation on the ground that it is uncertain is SUSTAINED with leave to amend. The demurrer is otherwise OVERRULED.

Plaintiff is ordered to file and serve the Second Amended Complaint within 30 days of this ruling.

Defendants to give notice.

DISCUSSION:

Motion
for Judicial Notice

To determine the sufficiency of a complaint against a general demurrer, California courts “consider[] matters which may be judicially noticed.” [Citation.]” (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

Under
Evidence Code section 452, a court can take judicial notice of “[o]fficial acts

of the ... executive ... departments ... of any state of the United States.” (Evid. Code, § 452, subd. (c); see e.g. *City of Alameda v. Sheehan* (2024) 105 Cal.App.5th 68, 81, fn. 7 [“We grant Sheehan’s request for judicial notice with respect to exhibits B and C, which are California Secretary of State business searches, in addition to exhibit F, referenced above. (Evid. Code, § 452, subd. (c))”]; see also *Gigax v. Ralston Purina Co.* (1982) 136 Cal.App.3d 591, 602, fn. 6 [“We take judicial notice of the fact that Van Camp made a corporate filing with the Secretary of State on October 30, 1981, as a Delaware corporation. We also take notice that Ralston, a Missouri corporation, filed with the Secretary of State on April 27, 1934. According to the State of California, these two business entities are separate corporations. An appellate court has the same power to take judicial notice as a trial court. [Citation.] A court may take judicial notice of the acts and records of the Secretary of State and it is not necessary to submit proof that a document has been filed with him to establish such fact”].)

However,

“‘[c]ourts can take judicial notice of the existence, content and authenticity of public records and other specified documents, but do not take judicial notice of the truth of the factual matters asserted in those documents.’ [Citation.]” (*Dominguez v. Bonta* (2022) 87 Cal.App.5th 389, 400 [italics in original].)

Therefore, Defendants’ request for judicial notice of Delaware Secretary of State records is GRANTED, but not as to the truth of the matters asserted in those documents. Defendants should also note that they were not required to file a separate motion for judicial notice if such notice is requested for a concurrently filed motion. Defendants could have simply filed a “Request for Judicial Notice” along with the main motion.

Demurrer

Legal Standard

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual

allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

Meet and Confer

Defendants contend (and Plaintiff does not dispute) that the parties met and conferred before the filing of this demurrer. (Demurrer, p. 5:9-13.) Therefore, the Court proceeds on the merits.

Alter Ego Liability

“[A]lter ego is used to prevent a corporation from using its statutory separate corporate form as a shield from liability only where to recognize its corporate status would defeat the rights and equities of third parties; it is not a doctrine that allows the persons who actually control the corporation to disregard the corporate form.’ [Citation.]” (LSREF2 Clover Property 4, LLC v. Festival Retail Fund 1, LP (2016) 3 Cal.App.5th 1067, 1081.) “Alter ego is normally a basis for liability, not a defense.” (Ibid.) In addition, it “is not limited to the parent-subsidary corporate relationship; rather, ‘under the single enterprise rule, liability can [also] be found between sister [or affiliated] companies.’ [Citation.]” (Troyk v. Farmers Group, Inc. (2009) 171 Cal.App.4th 1305, 1341 (Troyk).)

“In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone.

[Citations.]' [Citation.]" (Troyk, supra, 171 Cal.App.4th at p. 1341.)

The Court of Appeal has held that, on the demurrer stage, where a complaint fails to plead facts establishing the two conditions above, the alter ego allegations are insufficient. (See e.g., *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 74 ["Appellants' alter ego and cross-agency allegations ('defendants and each of them, are the agents and employees of each other') are inconsistent with other allegations ... and fail to include facts showing a unity of interest and a resultant injustice, prerequisites to an alter ego theory"]; see also *First Western Bank & Trust Co. v. Bookasta* (1968) 267 Cal.App.2d 910, 915 ["There appears to be some authority to the effect that the Alter ego doctrine must be pleaded in the complaint. There is also authority, however, that where a defendant is charged with liability his denial thereof is sufficient to establish such liability upon the principle of Alter ego even though the complaint is devoid of such an allegation." [Citation.] It therefore appears that the courts have followed a liberal policy of applying the Alter ego doctrine where the equities and justice of the situation appear to call for it rather than restricting it to the technical niceties depending upon pleading and procedure. It is essential principally that a showing be made that both requirements, i.e., unity of interest and ownership, and the promotion of injustice by the fiction of corporate separate existence, exist in a given situation"].)

With regard to the alter ego first factor, unity of interest, trial courts consider the following factors: "[1] commingling of funds and assets of the two entities, [2] identical equitable ownership in the two entities, [3] use of the same offices and employees, [4] disregard of corporate formalities, [5] identical directors and officers, and use of one as a mere shell or conduit for the affairs of the other. [Citation.] 'No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. [Citation.]' [Citation.]" (Troyk, supra, 171 Cal.App.4th at p. 1342.)

For the second alter ego factor, Plaintiff must plead facts showing that treating the wrongful acts in question as the act of Stachs LLC dba Eaze alone will cause an inequitable result.

The Court finds that FAC

has alleged facts sufficient to establish the first and second factors. (FAC, ¶¶ 9-16 [dedicating an entire section of the pleading alleging alter ego allegations, including that the defendants were so mixed and intermingled that they cannot be segregated, and that the corporate existence of the corporate defendants should be disregarded to avoid fraud and injustice].)

Defendants contend that

alter ego liability cannot exist where Eaze Inc. and Eaze California LLC were incorporated on August 6, 2024, both approximately three years after December 2021, the date Plaintiff alleges he was terminated. (FAC, ¶ 57; Motion for Judicial Notice, Exh. A – submitting copies of the Delaware Secretary of State records showing dates of incorporation.)

“[H]owever, the taking of judicial notice of the official acts of a governmental entity does not in and of itself require acceptance of the truth of factual matters which might be deduced therefrom, since in many instances what is being noticed, and thereby established, is no more than the existence of such acts and not, without supporting evidence, what might factually be associated with or flow therefrom.” (Cruz v. County of Los Angeles (1985) 173 Cal.App.3d 1131, 1134 (Cruz).)

“Such being the case, and because ‘A demurrer is simply not the appropriate procedure for “determining the truth of disputed facts,” [citation], judicial notice of matters upon demurrer will be dispositive only in those instances where there is not or cannot be a factual dispute concerning that which is sought to be judicially noticed.’” (Cruz, supra, 173 Cal.App.3d at p. 1134 [emphasis added].)

Here, Defendants have failed to establish that there is no (or cannot be any) factual dispute regarding the dates of incorporation of Eaze Inc. and Eaze California LLC. Indeed, Defendants have not submitted any evidence or law showing that the dates of incorporation on the Delaware Secretary of State websites conclusively establish the truth of those dates. According to the Court’s research, Delaware acknowledges that there might be instances where corporate formation documents acknowledged by its Secretary of State may turn out to be inaccurate, defective, or erroneously executed. (See Del. Code Ann. tit. 8, § 106 (West) [explaining that under Delaware law, the date of incorporation is determined as follows: “Upon the filing with the

Secretary of State of the certificate of incorporation, executed and acknowledged in accordance with [Del. Code Ann. tit. 8.] § 103 ..., the incorporator or incorporators who signed the certificate, and such incorporator's or incorporators' successors and assigns, shall, from the date of such filing, be and constitute a body corporate, by the name set forth in the certificate, subject to § 103(d) of this title and subject to dissolution or other termination of its existence as provided in this chapter"]; but see also id. § 103(g) ["Notwithstanding that any instrument authorized to be filed with the Secretary of State under this title is when filed inaccurately, defectively or erroneously executed, sealed or acknowledged, or otherwise defective in any respect, the Secretary of State shall have no liability to any person for the preclearance for filing, the acceptance for filing or the filing and indexing of such instrument by the Secretary of State"].) At trial, the burden will be on Plaintiff to disprove Defendants' defense that alter ego liability cannot be imposed against them because they were not in existence during the relevant period. However, on this demurrer, Defendants have failed to establish that defense based on the allegations in the FAC and Delaware Secretary of State records.

Therefore, Defendants' demurrer on the ground that the FAC fails to state facts sufficient to constitute a cause of action because their dates of incorporation occurred significantly later than the events alleged in the FAC is overruled. The Court also finds that Plaintiff has alleged facts sufficient to constitute alter ego liability.

Successor Liability

"[A] successor company has liability for a predecessor's actions if: (1) the successor expressly or impliedly agrees to assume the subject liabilities (which has never been argued here respecting the unregulated businesses), (2) the transaction amounts to a consolidation or merger of the successor and the predecessor, (3) the successor is a mere continuation of the predecessor, or (4) the transfer of assets to the successor is for the fraudulent purpose of escaping liability for the predecessor's debts." (CenterPoint Energy, Inc. v. Superior Court (2007) 157 Cal.App.4th 1101, 1120 [underlining added].)

Here, contrary to Defendants' arguments, the Court finds that the FAC has alleged facts sufficient to constitute successor liability. (See e.g., FAC, ¶ 38 ["[Defendants] are a continuation of [Stachs LLC dba Eaze]

because [they] ... assumed the liabilities and obligations of [Stachs LLC dba Eaze] that are usually necessary for the continuation of the operations of [Stachs LLC dba Eaze]”). Defendants cite no law in support of their implied argument that Plaintiff was required to plead the successor liability theory with specificity. To the extent Defendants contend that theory is vague, “[a] demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of Cal., Inc. (1993) 14 Cal.App.4th 612, 616.) Such demurrers “are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (Mahan v. Charles W. Chan Insurance Agency, Inc. (2017) 14 Cal.App.5th 841, 848.) Here, the FAC’s successor liability allegations are not so incomprehensible that Defendants cannot reasonably respond.

Therefore, the demurrer on the ground that the successor liability allegations are insufficient is also overruled.

Fifteenth Cause of Action for Defamation

Defendants contend that

“Plaintiff’s defamation allegations are vague and lack specificity.” (Demurrer, p. 12:12-13.)

“Defamation

constitutes an injury to reputation; the injury may occur by means of libel or slander. (Civ. Code, § 44.)” (Issa v. Applegate (2019) 31 Cal.App.5th 689, 696, fn. 2 (Issa); see also J-M Manufacturing Co., Inc. v. Phillips & Cohen LLP (2016) 247 Cal.App.4th 87, 97 [“‘Defamation requires the intentional publication of a false statement of fact that has a natural tendency to injure the plaintiff’s reputation or that causes special damage.’ [Citation.] The elements of a defamation claim are (1) a publication that is (2) false, (3) defamatory, (4) unprivileged, and (5) has a natural tendency to injure or causes special damage”).] “Slander is a false and unprivileged publication, orally uttered, and also communications by radio or any mechanical or other means.” (Medical Marijuana, Inc. v. ProjectCBD.com (2020) 46 Cal.App.5th 869, 893, quoting Civ. Code, § 46 [italics in original].) “Libel is a false and unprivileged publication by writing, printing, picture, effigy, or other fixed representation to the eye” ([Civ. Code], § 45.)” (Ibid.)

“Case law requires that

statements alleged to constitute libel 'must be specifically identified, if not pleaded verbatim, in the complaint' [citations]; less specificity is required in the pleading of slander, given that slander may 'be charged by alleging the substance of the defamatory statement' [citation]." (Marijuana, Inc. v. ProjectCBD.com, supra, 46 Cal.App.5th at p. 893 [italics removed].)

"However, even for purposes of slander, 'the disparagement set forth in the complaint must be sufficiently close to the actual words proved to acquaint a defendant with what he must defend against.' [Citation.]" (Marijuana, Inc. v. ProjectCBD.com, supra, 46 Cal.App.5th at p. 894 [italics in original].)

Here, the Court agrees with

Defendants that Plaintiff's defamation claim is uncertain. The FAC alleges that, "[d]uring and after the wrongful termination, Defendants, through their managing agent Bernie Bregman, defamed and slandered Plaintiff by stating false statements regarding Plaintiff's work performance, reputation and referring to Plaintiff as a 'liar.'

The statements were verbally published to third parties in person, over zoom and on subsequent recordings." (FAC, ¶ 58.) Plaintiff also alleges: "Each of the false and defamatory statements concerning Plaintiff is defamatory and slander per se, and purport to state facts about Plaintiff's character, ability to perform, trade business, profession and reputation, and such statements were so understood by the persons who heard or read the statements." (FAC, ¶ 157.) However, "'a defamatory meaning must be found, if at all, in a reading of the publication as a whole.' [Citation.]

'Defamation actions cannot be based on snippets taken out of context.' [Citation.]"

(Issa, supra, 31 Cal.App.5th at pp. 713–714.) Here, the

allegation that Bregman called Plaintiff a "liar" without more does not establish slander, let alone show that the statement concerned "Plaintiff's character, ability to perform, trade business, profession and reputation."

Therefore, the Court finds that the defamation claim is so incomprehensible that Defendants cannot reasonably be expected to respond to such claim.

Accordingly, the

demurrer to the fifteenth cause of action for defamation on the ground that it is uncertain is SUSTAINED with leave to amend.

Conclusion

Defendants' motion for judicial notice of Delaware

Secretary of State records is GRANTED, but not of the truth of the factual matters asserted in those records.

Defendants' demurrer to the
fifteenth
cause of action for defamation on the ground that it is uncertain is SUSTAINED
with leave to amend. The demurrer is otherwise OVERRULED.

Plaintiff is ordered to file and
serve the Second Amended Complaint within 30 days of this ruling.

Defendants to give notice.

IT IS SO ORDERED.

Dated: August 5, 2026 _____

Rolf
M. Treu

Judge
of the Superior Court

Any party may submit on the
tentative ruling by contacting the courtroom via email at by no later
than 4:00 p.m. the day before the hearing. All interested parties
must be copied on the email. It should be noted that if you submit
on a tentative ruling the court will still conduct a hearing if any party
appears. By submitting on the tentative you have, in essence, waived your right
to be present at the hearing, and you should be aware that the court may not
adopt the tentative, and may issue an order which modifies the tentative ruling
in whole or in part.